

Union Calendar No. 56

118TH CONGRESS
1ST SESSION

H. R. 2797

[Report No. 118–77]

To amend the Securities Act of 1933 to require certification examinations
for accredited investors, and for other purposes.

IN THE HOUSE OF REPRESENTATIVES

APRIL 24, 2023

Mr. FLOOD (for himself and Mr. NICKEL) introduced the following bill; which
was referred to the Committee on Financial Services

MAY 30, 2023

Additional sponsors: Mr. LAWLER and Mr. THANEDAR

MAY 30, 2023

Reported with an amendment, committed to the Committee of the Whole
House on the State of the Union, and ordered to be printed

[Strike out all after the enacting clause and insert the part printed in *italie*]

[For text of introduced bill, see copy of bill as introduced on April 24, 2023]

A BILL

To amend the Securities Act of 1933 to require certification examinations for accredited investors, and for other purposes.

1 *Be it enacted by the Senate and House of Representa-*
2 *tives of the United States of America in Congress assembled,*

3 **SECTION 1. SHORT TITLE.**

4 *This Act may be cited as the “Equal Opportunity for*
5 *All Investors Act of 2023”.*

6 **SEC. 2. CERTIFICATION EXAMINATIONS FOR ACCREDITED**
7 **INVESTORS.**

8 (a) *IN GENERAL.*—*The Securities and Exchange Com-*
9 *mission shall revise the definition of “accredited investor”*
10 *under Regulation D (section 230.501 of title 15, Code of*
11 *Federal Regulations) to include any natural person who is*
12 *certified through the examination required under subsection*
13 *(b).*

14 (b) *ESTABLISHMENT OF EXAMINATION.*—*Not later*
15 *than 1 year after the date of the enactment of this Act, the*
16 *Securities and Exchange Commission shall establish an ex-*
17 *amination (including a test, certification, or examination*
18 *program)—*

19 (1) *to certify an individual as an accredited in-*
20 *vestor; and*

21 (2) *that—*

22 (A) *is designed with an appropriate level of*
23 *difficulty such that an individual with financial*
24 *sophistication would be unlikely to fail; and*

1 *(B) includes methods to determine whether*
2 *an individual seeking to be certified as an ac-*
3 *credited investor demonstrates competency with*
4 *respect to—*

5 *(i) the different types of securities;*

6 *(ii) the disclosure requirements under*
7 *the securities laws applicable to issuers and*
8 *private companies as compared to public*
9 *companies;*

10 *(iii) corporate governance;*

11 *(iv) financial statements and the com-*
12 *ponents of such statements;*

13 *(v) aspects of unregistered securities,*
14 *securities issued by private companies, and*
15 *investments into private funds, including*
16 *risks associated with—*

17 *(I) limited liquidity;*

18 *(II) limited disclosures;*

19 *(III) variance in valuation meth-*
20 *ods;*

21 *(IV) information asymmetry;*

22 *(V) leverage risks;*

23 *(VI) concentration risk; and*

24 *(VII) longer investment horizons;*

1 (vi) *potential conflicts of interest, when*
2 *the interests of the financial professionals*
3 *and their clients are misaligned or when*
4 *their professional responsibilities are com-*
5 *promised by financial motivations; and*

6 (vii) *other criteria the Commission de-*
7 *termines necessary or appropriate in the*
8 *public interest or for the protection of inves-*
9 *tors.*

10 (c) *ADMINISTRATION.—Beginning not later than 180*
11 *days after the date the examination is established under*
12 *subsection (b), such examination shall be administered and*
13 *offered free of charge to the public by a registered national*
14 *securities association under section 15A of the Securities*
15 *Exchange Act of 1934 (15 U.S.C. 78o–3).*

Union Calendar No. 56

118TH CONGRESS
1ST Session

H. R. 2797

[Report No. 118-77]

A BILL

To amend the Securities Act of 1933 to require certification examinations for accredited investors, and for other purposes.

MAY 30, 2023

Reported with an amendment, committed to the Committee of the Whole House on the State of the Union, and ordered to be printed